Practice workbook · Price elasticity of supply: meaning, values and causes

What PES measures and its formula, classifying PES values, the determinants (factors of production, stocks, spare capacity, time), and why primary products tend to be less supply-elastic than manufactured goods.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-13

1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

3 (a) An increase in which **one** of the following is most likely to cause a decrease in the supply of labour?

(1)

- ☒ **A** The retirement age
- ☒ **B** The school-leaving age
- ☒ **C** The population
- ☒ **D** The demand for the final product

(b) Which **one** of the following is the formula to calculate total revenue?

(1)

- ☒ **A** Quantity sold × price
- ☒ **B** Profit – price
- ☒ **C** Profit ÷ price
- ☒ **D** Quantity sold ÷ price

(c) Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price.

(3)



Figure 2

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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More than one million drinks are bottled each day at the Coca-Cola factory in Mwanza, Tanzania. Over 1,000 workers are involved in the process at its 65,000 m^2 site, which includes filling bottles, sealing them with caps and adding labels. This enables consumers across East Africa to enjoy brands such as Coca-Cola, Fanta and Sprite.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages for Coca-Cola of using division of labour at the factory.

(6)

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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Many firms in Bangladesh produce textiles. In the factories, cotton shirts, knitwear and suits are produced. These factories are often operating below capacity.

About 40% of the Bangladeshi population is employed in the agricultural sector. Crops such as wheat, corn and fruit are produced annually by this sector.

(e) With reference to the data above and your knowledge of economics, assess whether supply is likely to be more price elastic for textiles than for agricultural products.

(9)

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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(Total for Question 3 = 20 marks)

1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following is most likely to cause an increase in the supply of labour?

(1)

- ☒ **A** A higher retirement age
- ☒ **B** A higher school-leaving age
- ☒ **C** A fall in population
- ☒ **D** A fall in demand for the final product

(b) Average costs can be calculated by which **one** of the following equations?

(1)

- ☒ **A** $\frac{\text{Total revenue}}{\text{Total costs}}$
- ☒ **B** $\frac{\text{Total revenue}}{\text{Price}}$
- ☒ **C** $\frac{\text{Output}}{\text{Total fixed costs}}$
- ☒ **D** $\frac{\text{Total costs}}{\text{Output}}$

(c) Draw a demand curve on the diagram below that has price elastic demand (PED). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)

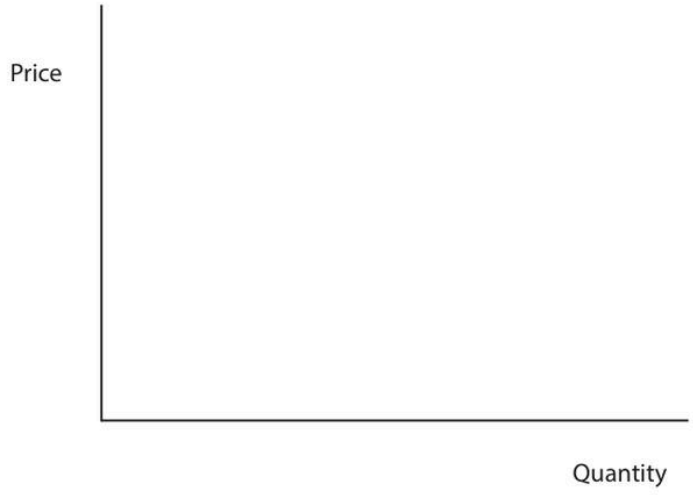


Figure 2

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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During the last six years, the government budget of Slovenia has raised almost €1bn in revenue from the privatisation of public sector assets. Most recently was the sale of 65% of the government shares in NLB Bank. The money raised from the sales was mostly transferred to the government budget and used for various purposes. These included the repayment of public sector debt and the long-term stability of the Slovenian pension system.

(Source adapted from: https://www.total-slovenia-news.com/business/2564-privatisation-in-slovenia-has-raised-almost-1bn-since-2012)

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits of privatisation for the Slovenian Government.

(6)

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

In the Republic of Korea, firms such as Hyundai and Kia produce cars. In addition, the Republic has 28,951 farms producing organic fruits such as strawberries. It is one of the most important organic producers in Asia.

(Source adapted from: http://www.intracen.org/exporters/organic-products/country-focus/Country-Profile-South-Korea/)

(e) With reference to the data above and your knowledge of economics, assess whether the price elasticity of supply (PES) is likely to be more price elastic for cars than for organic strawberries.

(9)

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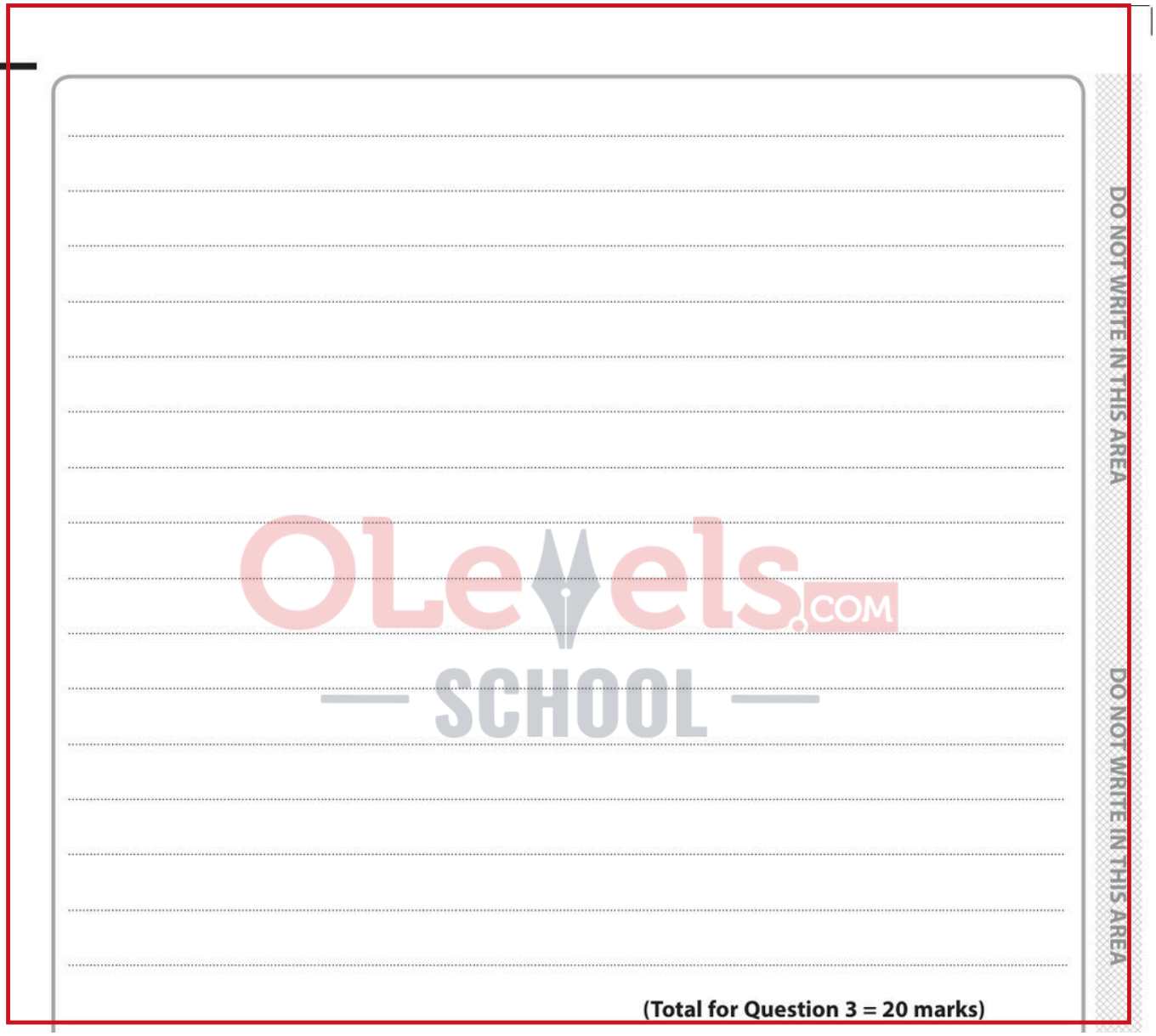
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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.



3. Question 3 · part e · 9 marks · Working and answer

Working and answer

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4. Question 1 · part a · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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4. Question 1 · part a · 1 mark · Working and answer

Working and answer

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

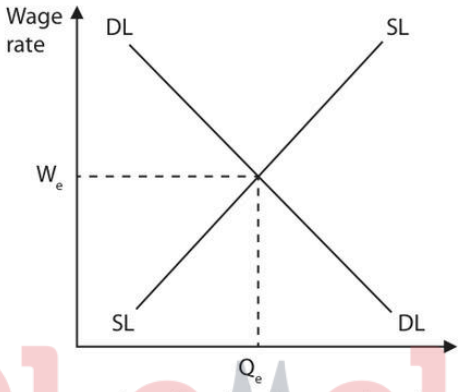


Figure 5

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part c · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part c only.

2

Market share by firm for a market in Azerbaijan

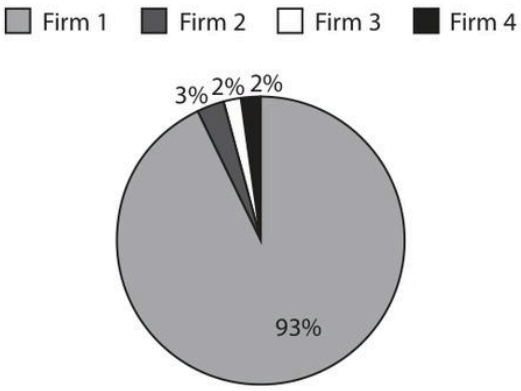


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3? **(1)**

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit? **(1)**

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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6. Question 2 · part c · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part c only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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6. Question 2 · part c · 1 mark · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

4 Figure 5 shows the population in Austria in the years 2000, 2008 and 2018.

Year	Population
2000	8,069,276
2008	8,341,532
2018	8,891,388

(Source adapted from: https://worldpopulationreview.com/countries/austria-population/)

Figure 5

(a) Calculate, to two decimal places, the **percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

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Figure 6 shows the price elasticity of supply (PES) of bananas.

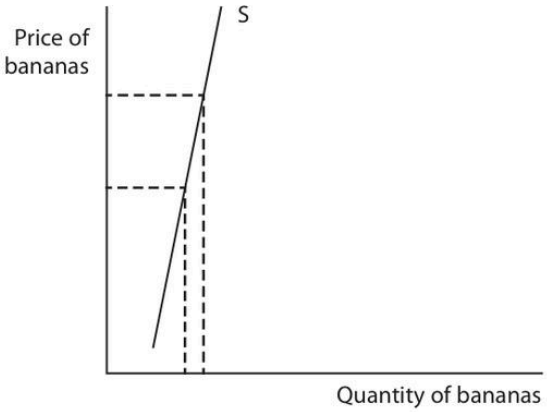


Figure 6

(b) With reference to the data above and your knowledge of economics, analyse how the quantity supplied of bananas might be affected by an increase in price. (6)

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

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18

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

Monthly Spanish minimum wage increases

In 2019, the monthly minimum wage in Spain increased by the largest percentage in over 40 years. It rose by around 22% compared to only a 4% rise the previous year. It was part of an annual review with a focus on 'making Spain great again'. The Spanish Prime Minister said that, 'A rich country should not have poor workers'.



Figure 7

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit an economy such as Spain.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 2 · part c · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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8. Question 2 · part c · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

8. Question 2 · part c · 1 mark · Working and answer

Working and answer

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9. Question 2 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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9. Question 2 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part a · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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10. Question 1 · part a · 1 mark · Working and answer

Working and answer

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working.

(2)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

Figure 1 shows the market for smartphones.

(g) Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

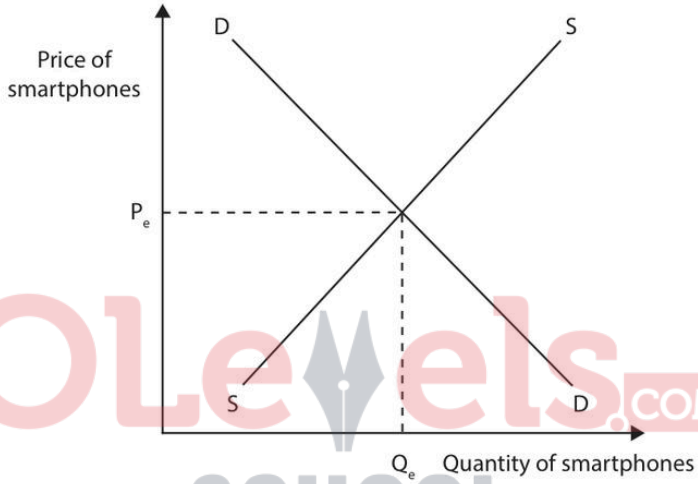


Figure 1

In 2023, the French Government increased the age at which people could receive a state pension to 64.

(h) Explain **one** possible effect of this change in the pension age on the supply of labour.

(3)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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Figure 2 shows the price elasticity of supply (PES) of avocados.

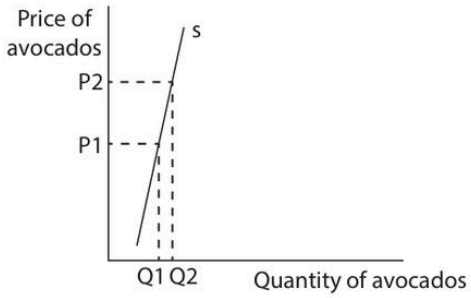


Figure 2

(i) With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados.

(6)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(Total for Question 1 = 20 marks)

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11. Question 1 · part i · 6 marks · Working and answer

Working and answer

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12. Question 3 · part b · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

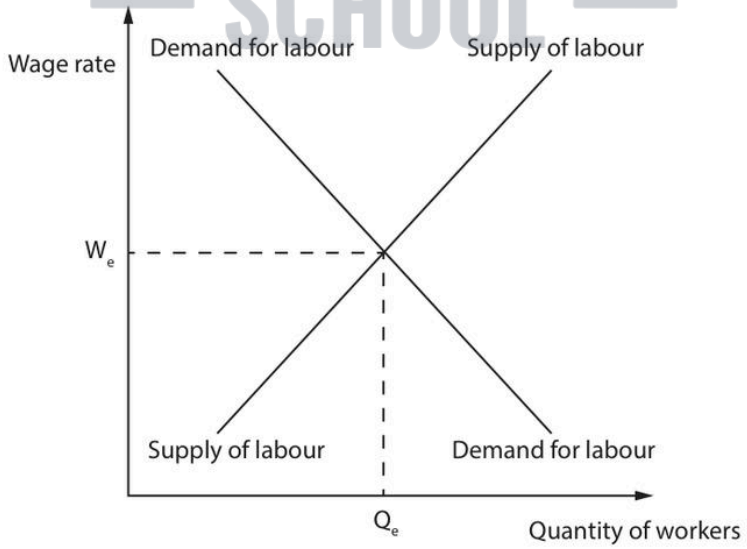


Figure 5

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12. Question 3 · part b · 1 mark · Working and answer

Working and answer

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